LEASE WORKBOOK

The Burton Inn — 24007 Vashon Highway SW, Vashon (Burton), Washington 98070

Draft v1.1 — November 13, 2026 — five-year lease with a path to purchase

A working list of the lease terms between The Burton Landing LLC (Landlord) and eBerry LLC (Tenant). For each term: what Tenant proposes, why, the questions to settle, and space to record Landlord's view and what is agreed. This is a discussion document, not an offer or a lease. Once the terms are agreed, they go into Section 1/3 of the Two-Tier Value-Sharing Lease©.

THE DEAL ON ONE PAGE

- **What is leased:** the whole Burton Inn building and grounds, to one tenant.
- **Term:** five years, from signing through December 31, 2031.
- **The plan:** Years 1–3 establish the business and its revenue record. A value review in spring 2030 sets the purchase price. Years 4–5 are for financing and closing.
- **Tier One — property costs:** Tenant pays the property taxes, building insurance, and routine upkeep at actual cost (about $19,500 a year), and all utilities. Owning the building costs Landlord nothing out of pocket.
- **Tier Two — Landlord's return:** ten percent (10%) of the inn's gross revenue, with a guaranteed minimum of $1,650 a month from January 1, 2028. Landlord's return rises with the business.
- **Option to purchase:** Tenant may buy the inn, or the inn and the Yellow House together. The price comes from an agreed method: an independent appraisal today, reviewed against three years of results.
- **Investment:** Tenant funds about $98,000 of fit-out that stays with the building. Landlord's fire suppression and HVAC work (about $50,000) is under way, funded by Tenant's $70,000 rent advance.

What Landlord receives at different revenue levels (full year, Tier Two only; Tier One costs are paid by Tenant on top):

- Gross revenue $150,000: Tier Two $19,800 (the minimum).
- Gross revenue $270,000: Tier Two $27,000.
- Gross revenue $450,000: Tier Two $45,000.

1 · STRUCTURE AND FORM

1.1 Lease form

PROPOSED: Use the Two-Tier Value-Sharing Lease©. Sections 2/3 (Standard Lease Terms) and 3/3 (Definitions), Version 2.1, are used unchanged. Every change for the Burton Inn goes in Section 1/3 and one Addendum, and each change names the article it modifies.

WHY: Sections 2/3 and 3/3 stay identical across leases, so there's no need to renegotiate the boilerplate. The inn's differences are listed in one place.

DISCUSS: In September, Landlord said we were far apart on Sections 2 and 3. Which specific articles are the concern?

LANDLORD'S VIEW: _____

AGREED: _____

1.2 Management fee

PROPOSED: No management fee. Section 2/3 Article 1.03(d) allows a 5% property management fee, but in a whole-building triple-net lease Tenant runs and maintains the property itself, and Landlord has no common areas to manage.

DISCUSS: What does Landlord expect a management fee to cover here? Is there any management cost Landlord will actually incur?

LANDLORD'S VIEW: _____

AGREED: _____

2 · PREMISES AND DELIVERY

2.1 Premises

PROPOSED: The entire building, land, parking, and grounds. No common areas; Tenant controls parking.

DISCUSS: Are any areas, outbuildings, or storage excluded? Does Landlord need any access rights?

LANDLORD'S VIEW: _____

AGREED: _____

2.2 Condition at delivery and Landlord's work

PROPOSED: As-is, except that Landlord completes the code-required fire suppression system and the HVAC (about $50,000 combined), in time for each phase of opening. This work is already under way, funded by the $70,000 rent advance.

DISCUSS: Current status and expected completion date. What happens if the work runs late?

LANDLORD'S VIEW: _____

AGREED: _____

2.3 Existing code violations (including the sunroom)

PROPOSED: Landlord resolves any violation that exists at signing, including the open sunroom violation, either by fixing it or by closing off the area.

WHY: The sunroom violation is likely to block new permits until it is resolved.

DISCUSS: Fix it or close it off? Timing? Can the County resolve it separately from the guest-room permits?

LANDLORD'S VIEW: _____

AGREED: _____

2.4 Tenant's fit-out

PROPOSED: Tenant funds about $98,000: flooring, paint, a commercial kitchen retrofit with permits, and furnishings. Phase 1 is the guest rooms; Phase 2 (about three months later) is the kitchen, bar, and events. The work is approved in the lease and stays with the building at the end.

DISCUSS: Any part of the work Landlord wants to approve in detail? Anything Tenant may remove at the end?

LANDLORD'S VIEW: _____

AGREED: _____

3 · TERM

3.1 Start date and Lease Years

PROPOSED: The lease starts when both parties sign. Lease Year 1 runs from signing through December 31, 2027; after that, each Lease Year is a calendar year.

WHY: Calendar years line up with the quarterly payments, the tax year, and the 2031 date in the Side Agreement.

LANDLORD'S VIEW: _____

AGREED: _____

3.2 Term

PROPOSED: Five years, through December 31, 2031 (end of Lease Year 5).

WHY: Years 1–3 establish the business and a revenue record. Years 4–5 are for planning and closing the purchase (Section 6).

LANDLORD'S VIEW: _____

AGREED: _____

3.3 If the purchase has not closed by the end of Year 5

PROPOSED: If the purchase has not closed by December 31, 2031 and Tenant is in good standing, Tenant may extend once, for up to two years, on the same terms. The purchase price stays as set at the value review.

WHY: Five years is enough to know whether the business works, but it may still be growing. A Cornell study of 3,699 hotels found occupancy takes about 3.1 years on average to stabilize, and practitioners plan on 36 to 48 months; restaurant estimates run up to three years for consistent profit. The clock starts at opening, not signing, so the value review will see only about two and a half years of operation. A lender may need to see more.

DISCUSS: Landlord may feel five years is enough to know. Is an extension acceptable if revenue is still rising? One year or two? What happens if neither a purchase nor an extension occurs?

LANDLORD'S VIEW: _____

AGREED: _____

4 · RENT

4.1 Tier One — property costs (triple net)

PROPOSED: Tenant pays at actual cost, with no markup: property taxes (about $8,500 a year), Landlord's building insurance (about $6,500 a year), and routine upkeep (about $4,500 a year). Starts the first of the month after signing. Landlord forwards tax and insurance bills; Tenant pays taxes at least 30 days before they are due and insurance within 30 days. No escrow account. Tenant pays all utilities directly.

DISCUSS: Pay the bills directly, or reimburse Landlord? Coverage levels on Landlord's building insurance?

LANDLORD'S VIEW: _____

AGREED: _____

4.2 Tier Two — percentage of revenue

PROPOSED: Ten percent (10%) of gross revenue.

WHY: Landlord shares in the upside, and rent stays affordable while the business ramps up.

LANDLORD'S VIEW: _____

AGREED: _____

4.3 Tier Two — monthly minimum

PROPOSED: No minimum in Lease Year 1 (the reopening year). From January 1, 2028: $1,650 a month ($19,800 a year), fixed for the term. Landlord receives the greater of the minimum or 10% of revenue.

DISCUSS: Amount and start date of the minimum. Any step-up over the term?

LANDLORD'S VIEW: _____

AGREED: _____

4.4 Payment timing

PROPOSED: The minimum is paid monthly on the 1st. The percentage is paid quarterly, by the end of the month after each calendar quarter (April 30, July 31, October 31, January 31), calculated year-to-date. There is a year-end true-up by March 31, with any overpayment credited.

LANDLORD'S VIEW: _____

AGREED: _____

4.5 What counts as gross revenue

PROPOSED: All revenue from the business at the property — lodging, food and beverage, tickets, pop-ups, kitchen rental, events, and merchandise — counted before booking-platform and card fees. Excluded: sales and lodging taxes, refunds, tips paid to staff, insurance proceeds, deposits not yet earned, and sales of used equipment.

DISCUSS: Any revenue Landlord expects to be included or excluded (for example, off-site catering or online sales)?

LANDLORD'S VIEW: _____

AGREED: _____

4.6 Reports and audit

PROPOSED: A monthly revenue report within 20 days (a point-of-sale report is enough) and a certified annual statement. Landlord may audit once a year, covering the prior two years. If revenue was understated by more than 10%, Tenant pays for the audit. Records stay confidential.

LANDLORD'S VIEW: _____

AGREED: _____

4.7 Security deposit and guaranty

PROPOSED: None, given the $70,000 rent advance already paid and the fit-out investment.

LANDLORD'S VIEW: _____

AGREED: _____

5 · THE $70,000 RENT ADVANCE AND SIDE AGREEMENT

5.1 How the advance is applied

FACTS: Tenant paid $70,000 as a rent advance under the Side Agreement, with a 12% credit against rent. Landlord is using it to pay for the fire suppression and HVAC work. About $39,600 is refundable if the lease is not extended past 2031.

PROPOSED: The Side Agreement stays in effect after the lease is signed. The lease refers to it rather than restating it.

DISCUSS: Confirm the Side Agreement date and that it survives the lease. The October 31 walk-away date has passed; does anything in the Side Agreement need updating?

LANDLORD'S VIEW: _____

AGREED: _____

5.2 The advance and the purchase

PROPOSED: If Tenant buys the property, any part of the advance not yet credited against rent is credited toward the purchase price at closing, in place of a refund.

DISCUSS: The refund is tied to the lease being "extended past 2031." With a five-year lease and a purchase, how should that work? Does the short extension in item 3.3 count as "extended"?

LANDLORD'S VIEW: _____

AGREED: _____

6 · OPTION TO PURCHASE

6.1 The option and the timeline

PROPOSED: Tenant has an option to buy the land, building, and fixtures. A value review in spring 2030, after the Lease Year 3 annual statement, sets the price. Tenant may then exercise the option by written notice, with closing by December 31, 2031.

DISCUSS: The date of the value review. The last date to give notice. Whether Tenant may exercise earlier.

LANDLORD'S VIEW: _____

AGREED: _____

6.2 How the price is set

PROPOSED (capped share):

- **Step 1:** At signing, an independent appraiser both parties accept values the building as it stands today, before Tenant's fit-out.
- **Step 2:** At the value review, that value is adjusted for inflation.
- **Step 3:** The average Tier Two rent for Lease Years 2 and 3 is converted to a value at a rate agreed now. If that rent-based value is higher than the adjusted appraisal, half of the difference is added to the price, up to a cap of 10% of the adjusted appraisal.

- Tenant's own fit-out is not added to the price.

WHY: Landlord is guaranteed today's value, kept whole for inflation, and shares in the upside if the inn proves the building can earn more. Landlord also receives 10% of revenue throughout. Tenant can invest in the business knowing the price cannot run away from it.

DISCUSS — the alternative ("greater of"): the price is simply the greater of the adjusted appraisal or the full rent-based value, with no cap. That gives Landlord all of the upside, and means Tenant pays more for the building the better it runs the business. If Landlord prefers this, what would balance it: a lower rent percentage, credit for rent paid, or a higher conversion rate?

APPRAISER, AND WHO PAYS: _____

RATE TO CONVERT RENT TO VALUE: _____ % **CAP (10% PROPOSED):** _____ %

INFLATION MEASURE: _____

LANDLORD'S VIEW: _____

AGREED: _____

6.3 What is bought: the inn alone, or with the Yellow House

PROPOSED: Tenant may buy the inn alone or, if Landlord still owns it, the inn and the Yellow House parcel together. The Yellow House would be appraised the same way (today's value, adjusted for inflation), with no rent-based share. Tenant would use it for long-term rental housing and for laundry and work space.

WHY: One buyer and one closing settle both properties, and the shared septic, alley, and right-of-first-refusal questions go away.

DISCUSS: Is the Yellow House available, or is the sale to others going ahead? Would Landlord prefer to sell it sooner? Is there anyone living there whose housing should be protected?

LANDLORD'S VIEW: _____

AGREED: _____

6.4 Purchase terms

DISCUSS: Earnest money; time to close; who pays for title insurance, excise tax, and escrow; seller financing, if Landlord would prefer payments over time to a single payment.

LANDLORD'S VIEW: _____

AGREED: _____

6.5 Protecting the option

PROPOSED: The option binds any later owner or lender. Any right of first refusal with a Yellow House owner excludes a sale to Tenant. A short memorandum of the option may be recorded.

LANDLORD'S VIEW: _____

AGREED: _____

7 · MAINTENANCE AND REPAIRS

7.1 Who maintains what

PROPOSED: Tenant maintains the whole property: interior, exterior, grounds, parking, and building systems, including routine HVAC service. Landlord, at its own cost, maintains and repairs the roof, foundation, and structure, and replaces the fire suppression system and HVAC when needed (unless Tenant caused the damage).

DISCUSS: Where does routine upkeep end and a capital repair begin? Is there a dollar threshold? Who handles major roof work?

LANDLORD'S VIEW: _____

AGREED: _____

7.2 Alterations after opening

PROPOSED: Section 2/3 Article 4.04 applies: Landlord's consent is needed, and it is not unreasonably withheld for non-structural work under $10,000.

DISCUSS: Is $10,000 the right threshold?

LANDLORD'S VIEW: _____

AGREED: _____

8 · USE, ZONING, AND OPENING

8.1 Permitted use

PROPOSED: Lodging (up to four guest rooms, or as the County allows); a restaurant and bar serving beer, wine, and spirits; ticketed dinners and events; pop-up and takeaway food; commercial kitchen rental; private events; and related retail — all as zoning and permits allow.

LANDLORD'S VIEW: _____

AGREED: _____

8.2 Zoning path

FACTS: The zone is NB, where a bed-and-breakfast is allowed only as accessory to the operator's residence, with a maximum of five rooms. The County's 1992 certificate of occupancy covers four guest rooms over a 62-seat dining room; whether it still holds after the closure since 2022 is open. King County zoning (Mark Rowe, November 10): [_____].

PROPOSED: If the County requires it, Tenant may designate part of the building as the operator's residence. Landlord signs owner consents and cooperates with applications at no material cost.

DISCUSS: Which approval path to pursue first. Who is the operator in residence?

LANDLORD'S VIEW: _____

AGREED: _____

8.3 If guest rooms cannot reopen

PROPOSED: If guest rooms cannot legally reopen by June 30, 2027 (through no lack of diligence by Tenant), Tenant may end the lease on 30 days' notice. Rent is paid to that date, the fit-out stays, and the advance is handled under the Side Agreement.

DISCUSS: The deadline date. Should the remaining advance be refunded in that case?

LANDLORD'S VIEW: _____

AGREED: _____

8.4 Staying open

PROPOSED: Once rooms reopen, Tenant keeps the business operating, with seasonal closures of up to six weeks a year and closures for repairs, permits, or events beyond its control. There is no minimum revenue requirement.

LANDLORD'S VIEW: _____

AGREED: _____

9 · NEIGHBORS: SEPTIC, ALLEY, AND YELLOW HOUSE

9.1 Shared septic

DISCUSS: Location and capacity; any recorded easement or agreement; how pumping and maintenance are split between the inn and the Yellow House; who pays for repair or replacement.

LANDLORD'S VIEW: _____

AGREED: _____

9.2 Mutual right of first refusal (Yellow House)

PROPOSED: Needed only if the Yellow House is sold to someone other than Tenant. In that case Landlord may enter into a mutual right of first refusal with the Yellow House owner, because of the shared septic. It is an agreement between the two owners, outside the lease, and it must exclude a sale to Tenant under the purchase option.

DISCUSS: Status of the possible sale of the Yellow House (Larry and Luciana), given item 6.3.

LANDLORD'S VIEW: _____

AGREED: _____

9.3 Alley access

DISCUSS: Which alley; existing easement; access for guests, deliveries, and parking; who maintains it.

LANDLORD'S VIEW: _____

AGREED: _____

9.4 Quiet enjoyment for the Yellow House

DISCUSS: Any operating standards for the residents' benefit, such as quiet hours, limits on outdoor events, or exterior lighting.

LANDLORD'S VIEW: _____

AGREED: _____

10 · OTHER LEASE TERMS

10.1 Insurance

PROPOSED: Standard liability coverage ($1M per occurrence / $2M aggregate), property coverage on Tenant's contents, workers' compensation, liquor liability from the first alcohol service, and business-income coverage. Landlord is named as additional insured.

LANDLORD'S VIEW: _____

AGREED: _____

10.2 Guests, events, and kitchen renters

PROPOSED: Guests, event hires, pop-up vendors, and kitchen renters are part of the business, not subleases, and need no consent. Landlord has no recapture right.

LANDLORD'S VIEW: _____

AGREED: _____

10.3 Lender protection and recording

PROPOSED: If Landlord finances the property, the lender agrees not to disturb the lease or the purchase option while Tenant is not in default. A short memorandum of the lease may be recorded. The lease is signed before a notary.

LANDLORD'S VIEW: _____

AGREED: _____

10.4 Inn-specific site rules

PROPOSED: Ordinary inn, restaurant, and event noise and cooking odors are permitted. Guests' pets are allowed under a house policy. Existing inn signage stays. Landlord does not enter occupied guest rooms except in an emergency.

LANDLORD'S VIEW: _____

AGREED: _____

10.5 Damages if Tenant defaults

PROPOSED: Future percentage rent is estimated from the average of the prior 36 months, and never less than the minimum.

LANDLORD'S VIEW: _____

AGREED: _____

OPEN ITEMS AND NEXT STEPS

- [ ] Side Agreement date, and confirm it survives the lease.
- [ ] King County tax parcel number and full legal description.
- [ ] Site plan of the building, grounds, parking, and alley.
- [ ] Mark Rowe's feedback on zoning and the sunroom violation.
- [ ] Choose the appraiser and order the as-is appraisal.
- [ ] Agree the price method: conversion rate, cap, and inflation measure.
- [ ] Decide whether the Yellow House is part of the plan.
- [ ] Septic details and the Yellow House right of first refusal.
- [ ] Completion date for the fire suppression and HVAC work.
- [ ] Once terms are agreed: fill in Section 1/3 of the lease and circulate for signature.

NOTES: _____

_____

_____